

Portfolio LOI

It was great aligning with you earlier, I am looking forward to connecting the dots with you here shortly - After further due diligence with our lender, for an outright sale to be successful, the total rent would need to be 2% of the purchase price. What we can do if your seller isn't completely opposed to it is providing a unique strategy that enables a large portion of equity to be leveraged at closing in a few short weeks as shown here. Approved Offer for 8 E Tunbridge Ct, Johnson City, TN 37604 Contingent on inspection and appraisal: Purchase Price \$210,000.00 2. Down payment \$ 105,000 .00 (Funds to seller) 3. Earnest Money Deposit of \$500.00 wired within 24 hours of authorized agreement - becomes non refundable in 14 days after inspections to allow for agent and inspector accessibility as well as appraisal review 4. Remaining equity of \$104,500.00 will be paid in full in just 72 months (No payments due to the significantly inflated down payment) 5. Buyer pays buyer's closing costs 6. Close of escrow in just 28 days Note: 70% of the funds in the down payment will be brought to close by a DSCR loan to which they will be in first position, the remaining will be liquid cash. There are few layers of protection in place for the seller: (1) a promissory note ensuring the balloon payment is automatically wired at maturity, (2) a deed in lieu of foreclosure that allows the seller to regain ownership of the property within 15 days of any missed payment-bypassing the foreclosure process and preserving the built-in equity and completed renovations Buyer and Seller agree that, on or before closing, a limited liability company ("LLC") shall be formed. The Buyer and Seller shall be members of said LLC, with ownership interests to be defined in a separate Operating Agreement. Title to the Property may be conveyed to the LLC, or assigned to the LLC, as mutually agreed. It is the express intent of the parties that both Buyer and Seller retain equitable interest in the Property through their respective membership interests in the LLC. Such equitable interest shall survive closing and shall be governed by the terms set forth in the LLC Operating Agreement, including provisions for profit distribution, management authority, transfer restrictions, and buyout terms. Buyer to purchase all 23 properties at a total purchase price of \$5,000,000 simultaneously.